(c) Five Year Plans can continue to provide a long term perspective to the economy in market friendly fashions
(d) the market economy is mainly confined to industry and commerce and central planning in agriculture is necessary

Ans. (d) : The national economic planning is still being pursued inspite of embracing a market economy since 1991 because the market economy is mainly confined to industry and commerce and central planning in agriculture is necessary.

70. Fiscal deficit in the Union Budget means
(a) the sum of budgetary deficit and net increase in internal and external borrowings
(b) the difference between current expenditure and current revenue
(c) the sum of monetized deficit and budgetary deficit
(d) net increase in Union Government's borrowing from the Reserve Bank of India

Ans. (a) : The difference between total revenue and total expenditure of the government is fiscal deficit. It is the negative balance that arises whenever a government spend more money than it receives in the form of taxes and other revenues.

71. Which of the following are correctly matched?
Establishment of Manufacturing Industries Place
I. Setting up of the first cotton mill 1854 Bombay
II. Manufacture of the first machine made paper 1870 near Calcutta
III. Setting up of the first cement factory 1904 Madras
Choose the correct answer from the codes given below :
Codes:
(a) I and II only (b) I and III only
(c) II and III only (d) I, II and III

Ans. (b) : The first cotton mill in India was established in 1818 at fort Gloster near Kolkata but was a commercial failure. The second cotton mill in India was established by KGN Daber in 1854 and was named Bombay Spinning and Weaving company. This mill is said to mark the true foundation of the modern cotton industry in India.
The first paper mill was set up as early as 1832 at Serampore (Rishra) in Hooghly district of West Bengal. But in terms of production capacity, the industry remains very small.
First cement plant was set up in Porbandar, Gujarat in 1904 whereas the production of cement was started in 1904 in Madras (Now Chennai).

72. Convertibility of the rupee implies
(a) being able to convert rupee notes into gold
(b) allowing the value of the rupee to be fixed by market forces
(c) freely permitting the conversion of rupee to other major currencies and vice versa
(d) developing an international market for currencies in India

Ans. (c) : Convertibility is the ease with which a country's currency can be converted into gold or another currency through global exchanges. India's rupee is a partially convertible currency. Rupees can be exchanged at market rates in certain cases, but approval is required for larger amounts.

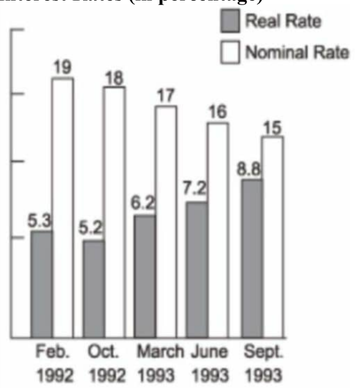
73. Which one of the following governmental steps has proved relatively effective in controlling the double digit rate of inflation in the Indian economy during recent years ?
(a) Enhanced rate of production of all consumer goods
(b) Streamlined public distribution system
(c) Pursuing an export oriented strategy
(d) Containing budgetary deficits and unproductive expenditure

Ans. (d) : Government use fiscal policy such as government spending and levied taxes to stimulate economic change. Expansionary policy is characterised by increased government spending or lower taxes to boost productivity.
Contractionary policy is characterized by decreased government spending or increased taxes to combat rising inflation.
Expansionary policy leads to higher budget deficits, and contractionary policy reduces deficits.

74. Devaluation of a currency means
(a) reduction in the value of a currency visavis major internationally traded currencies
(b) permitting the currency to seek its worth in the international market
(c) fixing the value of the currency in conjunction with the movement in the value of a basket of predetermined currencies
(d) fixing the value of a currency in multilateral consultation with the IMF, the World Bank and major trading partners

Ans. (a) : Under a fixed exchange rate system, devaluation and revaluation are official changes in the value of a country's currency relative to other currencies.
Under a floating exchange rate system market forces generate changes in the value of the currency, known as currency depreciation or appreciation.

75. Consider the following chart :
Interest Rates (in percentage)



The chart above shows the movement of nominal interest rates and real interest rates (defined as nominal interest rate minus inflation).
Which one of the following is the correct interpretation ?
(a) Nominal interest rates decreased at a constant rate in the period Feb. 1992 — Sept. 1993
(b) Inflation has constantly decreased from Feb. 1992 — Sept. 1993
(c) Although the nominal rates of interest have constantly declined from Feb. 1992—Sept. 1993, the real rates have been steadily increasing throughout the period
(d) Nominal rate of interest and real rate of interest are likely to become equal in 1994

Ans. (b) : The rates obtained by deducting inflation from the designated interest rate represent the real interest rates. It is clear from the chart that the real rates are increasing gradually. While the real interest rate is 5.3 in Februarty, 1992, it rises to 8.8 in September, 1993 while the nominal interest rate has shown a gradual declining trends. So its is clear that the inflation has constantly decreased from February, 1992 to September, 1993.

76. To know whether the rich are getting richer and the poor getting poorer, it is necessary to compare
(a) the wholesale price index over different periods of time for different regions
(b) the distribution of income of an identical set of income recipients in different periods of time.
(c) The availability of foodgrains among two sets of people, one rich and the other poor, over different periods of time.
(d) The distribution of income of different sets of income recipients at a point of time.

Ans. (b) : To know whether the rich are getting richer and the poor getting poorer, it is necessary to compare the distribution of income of different sets of income recipients different periods of time.

77. The difference between a bank and a Non Banking Financial Institution (NBFI) is that
(a) a bank interacts directly with customers while an NBFI interacts with banks and governments
(b) a bank indulges in a number of activities relating to finance with a range of customers, while an NBFI is mainly concerned with the term loan needs of large enterprises
(c) a bank deals with both internal and international customers while an NBFI is mainly concerned with the finances of foreign companies
(d) a bank's main interest is to help in business transactions and savings/ investment activities while an NBFI's main interest is in the stabilisation of the currency

Ans. (b) : The basic difference between banks & NBFCs is that NBFC cannot issue cheques and demand draft like banks. Banks take part in country's payment mechanism whereas Non-Banking Financial Companies are not involved in such transaction.

78. Which of the following taxes is/are levied by the Union and collected and appropriated by the States ?
(a) Stamp Duties
(b) Passenger and Goods Tax
(c) Estate Duty
(d) Taxes on Newspapers

Ans. (a) : Stamp duty is a legal tax payable in full and acts as an evidence for any sale or purchase of a property. The levy of stamp duty is a state subject and thus the rates of stamp duty vary from state to state. The centre levies stamps duty on specified instruments and also fixes the rates for these instruments.

79. Study the graphs given below :

